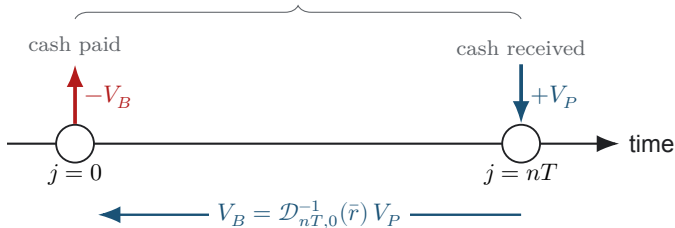


zero-coupon bill: one payment, one receipt



common units: purchase-date dollars

the return is the gap $V_P - V_B$; there are no coupons

j counts compounding periods, $n = 2$ per year, over a maturity of T years